

Price Target Change — July 20, 2026

U.S. Software

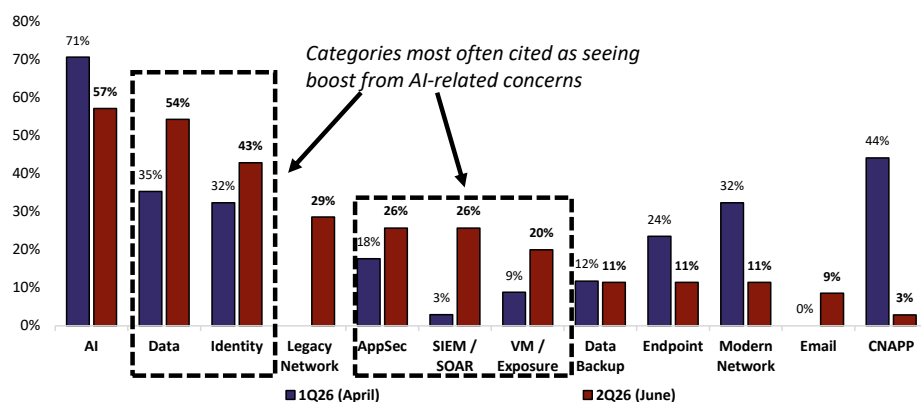
2Q26 On-Cycle Security Reseller Survey: AI Drives Top-of-Funnel; +ve NET, VRNS, CYBR-PANW

Our Call

Supplementing 14 checks in the past month, our 2Q26 on-cycle (June) reseller survey results support improving overall cyber demand driven by AI-related urgency. Results were most positive for NET, CYBR (PANW), VRNS; mixed for FTNT, CHKP, TENB.

Key themes: #1 AI remains key spend driver, as partners finish 39% net above plan, a 20-point QoQ and 7-point YoY improvement. Overwhelmingly, AI-related concerns (vulnerability storm, expanding attack surface) were highlighted as key drivers of cybersecurity spend. Partners' overall security revenue was 39% net above plan on a weighted basis (13 above, 20 in-line, 2 below). **13 partners mention AI as a driver of Q2 results on pg 4 & we list each partners' most notable AI security deal on pg 6-7.**

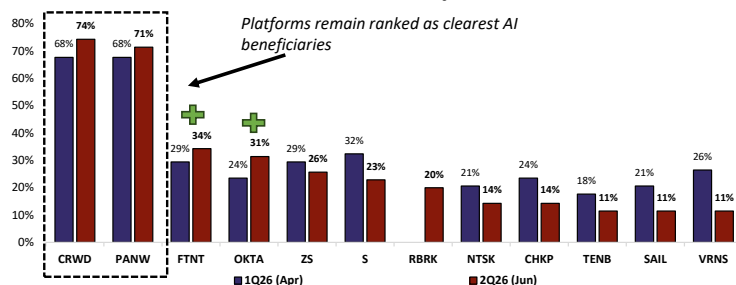
Exhibit 1 - Top three areas of security spend growth over the next year



Source: Wells Fargo Securities, LLC

1Q26 (April) n=34, 2Q26 (June) n=35

Exhibit 2 - Which vendor(s) are most likely to benefit from AI-related spending?



Source: Wells Fargo Securities, LLC

1Q26 April n=29, 2Q26 June n=35

#2 Firewall/hardware demand moderates, as pull-forward eases but refresh ongoing (CHKP/FTNT). Q1 was unanimously strong for hardware driven by tariff, memory &

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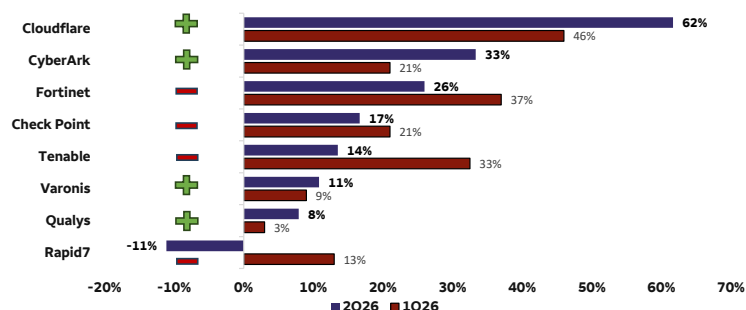
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availability concerns; in Q2, partner feedback/survey results were mixed and point to normalization (FTNT net score down 9pts QoQ, CHKP down 4pts). With FTNT in a refresh cycle (unlike CHKP), partners' 2H outlooks carry more uncertainty. **See inside for feedback on share shifts, use case expansion & broader platform expansion trends.**

#3 Exposure Management sees broad boost; vendor-specific takes more nuanced, yet expect rising tide in the NT (TENB). Building on our recent work [here](#), we believe preventative security is seeing a NT demand boost as AI models proliferate vulnerability discovery & exploitation. In our survey, 20% of respondents view the category as a top 3 spend priority, up from 9% in Q1. While TENB partners were 14% net above plan (down QoQ), it tends to be noisy (20pt+ swings in each of the past five qtrs).

2Q26 reseller results most constructive for NET (covered by Ryan MacWilliams), **VRNS** & **CYBR/PANW**: The % of partners net above plan (above - below) was strongest for **NET** at 62% (+16pts), an all-time high, and even more pronounced for large partners (85% net above)—data points were most positive on NET's momentum in SASE. Others names with QoQ improvement include: **CYBR** (29% net above plan, +8pts) & **VRNS** (10%, +1pt). Pipeline trends were strong universally. **See inside for more detailed analysis.**

Exhibit 3 - Net Score (Above Plan - Below Plan), Revenue-Weighted



Source: Wells Fargo Securities LLC

n=35

Reflecting our increased confidence in the health of cybersecurity budgets in 2026 and positive 2Q26 survey results, we're raising our price targets as follows: (1) CHKP to \$140 (from \$120) on ~12x EV/FCF our Fwd NTMe; (2) FTNT to \$120 (from \$70) on ~27x EV/FCF our Fwd NTMe; (3) OKTA to \$150 (from \$100) on ~25x EV/FCF our Fwd NTMe; and (4) VRNS to \$50 (from \$35) on ~40x EV/FCF our Fwd NTMe.

See inside for more company-specific takeaways.

Financials

Company Name (Ticker)	Rating	Price 07/17/26	FY Rev. (MM)						Price Target To From		Upside PT	Downside PT
			2026E	2026E	2027E	2027E	FY EV/Revenue					
			Curr.	Prior	Curr.	Prior	2027					
U.S. Software												
Check Point Software Technologies Ltd. (CHKP)	EW	\$137.10	\$2.81B	NC	\$2.97B	NC			\$140.00	\$120.00	\$165.00	\$100.00
CrowdStrike Holdings, Inc. (CRWD)	OW	\$203.08	\$4.81BA	NC	\$5.94B	NC	42.6x	34.5x	\$181.25	NC	\$225.00	\$125.00
Fortinet, Inc. (FTNT)	UW	\$161.61	\$7.77B	NC	\$8.57B	NC			\$120.00	\$70.00	\$125.00	\$60.00
Gen Digital, Inc. (GEN)*	EW	\$26.74	\$2.57A	NC	\$2.87	NC	10.4x	9.3x	\$22.00	NC	\$30.00	\$15.00
Netskope, Inc. (NTSK)	OW	\$13.59	\$709.0A	NC	\$881.1	NC			\$13.00	NC	\$15.00	\$8.00
Okta, Inc. (OKTA)	EW	\$149.35	\$2.92BA	NC	\$3.20B	NC			\$150.00	\$100.00	\$165.00	\$80.00
Palo Alto Networks, Inc. (PANW)	OW	\$358.68	\$11.42B	NC	\$13.92B	NC			\$420.00	NC	\$500.00	\$250.00
SailPoint, Inc. (SAIL)	OW	\$15.68	\$1.07BA	NC	\$1.27B	NC			\$19.00	NC	\$26.00	\$13.00
SentinelOne, Inc. (S)	EW	\$19.57	\$1.00BA	NC	\$1.20B	NC			\$16.00	NC	\$22.00	\$10.00
Tenable Holdings, Inc. (TENB)	EW	\$39.88	\$1.07B	NC	\$1.15B	NC			\$43.00	NC	\$60.00	\$25.00
Varonis Systems, Inc. (VRNS)	OW	\$47.54	\$734.7	NC	\$892.0	NC			\$50.00	\$35.00	\$70.00	\$30.00
Zscaler, Inc. (ZS)	OW	\$149.94	\$3.33B	NC	\$3.91B	NC			\$180.00	NC	\$255.00	\$120.00

* For GEN estimates represent EPS, valuation multiple P/E
Source: Company data and Wells Fargo Securities, LLC estimates, and Factset.
OW = Overweight, EW = Equal Weight, UW = Underweight, NR = Not Rated
NA = Not Available, NC = No Change, NE = No Estimate, NM = Not Meaningful

Overall 2Q26 (June) On-Cycle Survey Results (n=35)

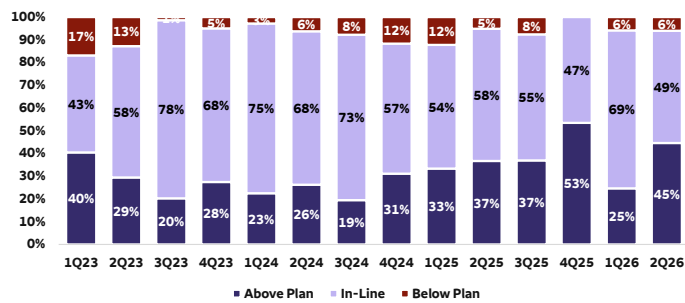
- **Overall vs plan:** Overall performance vs plan improved sequentially with +39% net above plan on a weighted basis, up from 19% last quarter. On an equal weight basis, 13 were above plan, 20 were in-line and 2 were below.
- **Vendor-specific:** Cloudflare (+62% net) again led, followed by CyberArk (+33%), Fortinet (+26%), Check Point (+17%), Tenable (+14%), Varonis (+11%) and Qualys (+8%); Rapid7 (-11%) was the sole net-negative name.
- **Sequential movers:** Cloudflare (+16 points), CyberArk (+12 points), Qualys (+5 points), Varonis (+2 points) saw sequential improvement; Check Point (-4 points), Fortinet (-11 points), Tenable (-18 points) and Rapid7 (-24 points) saw sequential softening.
- **Adjusted for sample size:** Cloudflare (16.0) was the standout, followed by Fortinet (+8.8), CyberArk (+7.0), Check Point (+4.5), Tenable (+2.6), Varonis (+1.8), Qualys (1.1) and Rapid7 (-2.1).

Exhibit 4 - 2Q26 On-Cycle: Overall Practice Results, Demographics, Growth and Commentary

2Q26 (Jun) (n=35)					
Result vs Plan	Partner Type	Region	Annual Reported Sales	YoY Practice Growth	Commentary — what drove results
Above Plan	Reseller/VAR	United States	Over \$1 billion	15%	Continued expansion of awareness around cybersecurity threats and increased occurrences of untoward incidents coupled with increased deployments of AI workloads and agentic solutions
Above Plan	Reseller/VAR	United States	Over \$1 billion	16%	Increasing cybersecurity concerns because of the recent geopolitical turmoil and potential regulation.
Above Plan	System Integrator	United States	Over \$1 billion	7%	More focus on AI and governance/security around AI use cases.
Above Plan	Reseller/VAR	United States	Over \$1 billion	6%	AI projects reached maturation and increased spend on data and AI security
Above Plan	Reseller/VAR	Europe	\$501 million-\$1 billion	20%	Larger deals due to consolidation theme and interest/top-of-funnel from AI-related concerns.
Above Plan	Reseller/VAR	United States	\$501 million-\$1 billion	11%	N/A
Above Plan	System Integrator	United States	\$501 million-\$1 billion	26%	Additional MSSP Seats and Users. Additional capabilities / modules. Modest platform replacement and consolidation.
Above Plan	System Integrator	United States	\$101-\$500 million	12%	Sustained momentum, objectively feels like overall improvement in sentiment and that is translating into opportunities.
Above Plan	Reseller/VAR	Europe	\$101-\$500 million	21%	Strong demand across most of the business.
Above Plan	Reseller/VAR	United States	\$101-\$500 million	3%	Agentic security and Mythos drove the overall adoption and interest in security offerings.
Above Plan	Reseller/VAR	United States	\$101-\$500 million	15%	Continued high demand + pull forward due to price increases
Above Plan	System Integrator	United States	\$101-\$500 million	22%	The data suggests that an increase in AI adoption and an increase in threats and announced breaches both drove significant increase in security spend for our customers.
Above Plan	Reseller/VAR	United States	\$101-\$500 million	10%	A strong pipeline from 4Q25 with new logos
In Line With Plan	System Integrator	United States	Over \$1 billion	18%	Our security business delivered approximately 18% growth in June 2026. It is driven by continued customer base acquisition, investment in cloud security, AI-driven security operations, vulnerability management, and security platform consolidation. Hybrid and multi-cloud are key impact & influence areas.
In Line With Plan	Reseller/VAR	United States	\$101-\$500 million	5%	Softer demand than usual
In Line With Plan	System Integrator	United States	\$51-\$100 million	20%	We closed a couple large deals with Palo and Fortinet which helped drive our results positive for the first half 2026
In Line With Plan	Reseller/VAR	Asia Pacific	\$101-\$500 million	10%	Security area is seeing considerable growth as there are areas like AI security and identity security which are quite relevant these days. In our region the urgency of compliances also pushes for security as a practice. Or course NGFW, email security, EDR-XDR remain must go product in the market.
In Line With Plan	Reseller/VAR	United States	\$51-\$100 million	7%	Q2 continues to see strong demand for cybersecurity products and platform due to rising AI and agentic adoption.
In Line With Plan	Reseller/VAR	Europe	Over \$1 billion	8%	AI trends are driving push for security SAAS.
In Line With Plan	System Integrator	Europe	\$501 million-\$1 billion	15%	N/A
In Line With Plan	Reseller/VAR	United States	\$101-\$500 million	10%	Our overall growth this quarter was primarily driven by large enterprise clients migrating to unified security platforms. We also benefited from expanded PS revenue as organizations need help to architect guardrails around their newly deployed autonomous AI agents.
In Line With Plan	Reseller/VAR	United States	\$101-\$500 million	8%	Macro headwinds continued to impact broad IT spending. However, AI and Cybersecurity spending stayed resilient. The Anthropic Mythos effect continued to drive customer anxiety around vulnerability management and AI security/AI governance were the major themes in this quarter.
In Line With Plan	Reseller/VAR	United States	\$101-\$500 million	2%	We expected 10%-12% growth, but the current economic environment has put a damper on growth.
In Line With Plan	Reseller/VAR	United States	\$101-\$500 million	18%	Good retention across clients and upsell on cloud security and some newer products
In Line With Plan	System Integrator	United States	\$101-\$500 million	23%	It was the increase in sales due to security issues in government
In Line With Plan	Reseller/VAR	Europe	\$101-\$500 million	3%	Stabilising to a greater extent towards the end of the quarter
In Line With Plan	System Integrator	United States	\$101-\$500 million	30%	N/A
In Line With Plan	Reseller/VAR	United States	\$101-\$500 million	12%	N/A
In Line With Plan	Reseller/VAR	United States	\$101-\$500 million	15%	N/A
In Line With Plan	Reseller/VAR	United States	\$101-\$500 million	15%	N/A
In Line With Plan	Reseller/VAR	Europe	\$101-\$500 million	5%	N/A
In Line With Plan	Reseller/VAR	United States	\$51-\$100 million	20%	Things were slow in April and early May but picked up in June, especially with some of our state and local customers.
In Line With Plan	System Integrator	United States	\$51-\$100 million	15%	Uptick coming out of a down 2025
Below Plan	System Integrator	Asia Pacific	\$101-\$500 million	2%	Overall market was sluggish and customers did postpone ordering
Below Plan	Reseller/VAR	Europe	\$501 million-\$1 billion	17%	Yes, we seen the impact of the war still affecting our business and some businesses regardless are pushing on AI so we are trying to find a balance

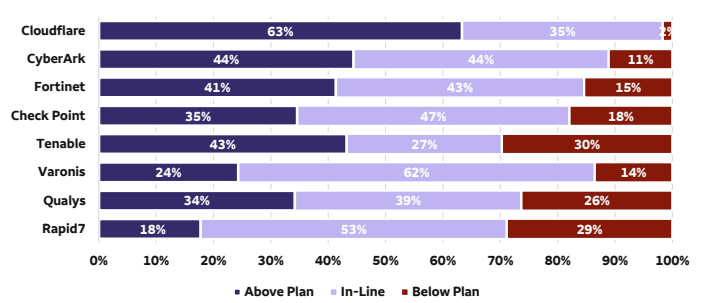
Source: Wells Fargo Securities LLC

Exhibit 5 - Overall Results vs Plan (aggregate of all vendors)



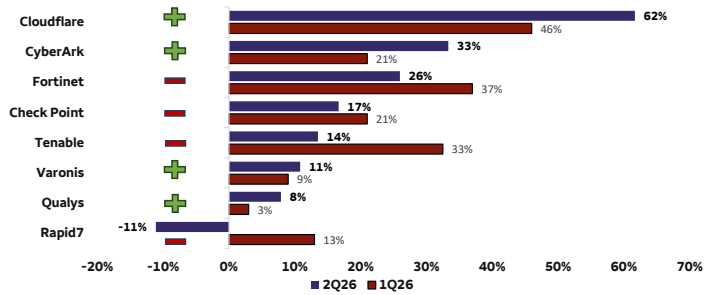
Source: Wells Fargo Securities, LLC; n=35

Exhibit 6 - Vendor-Specific Results vs Plan



Source: Wells Fargo Securities, LLC; n=35

Exhibit 7 - Net Score (Above Plan - Below Plan), Revenue-Weighted

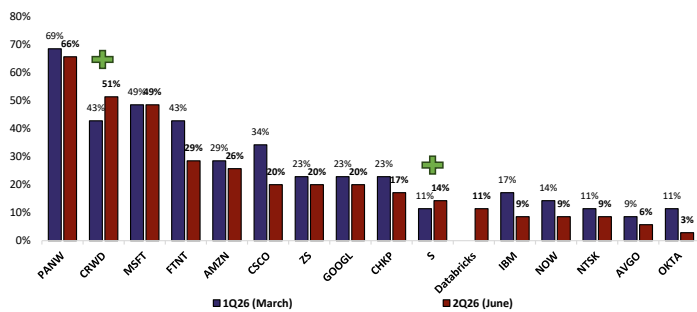


Source: Wells Fargo Securities LLC

n=35

Market Share: Platforms Retain Top Share Momentum Across Categories

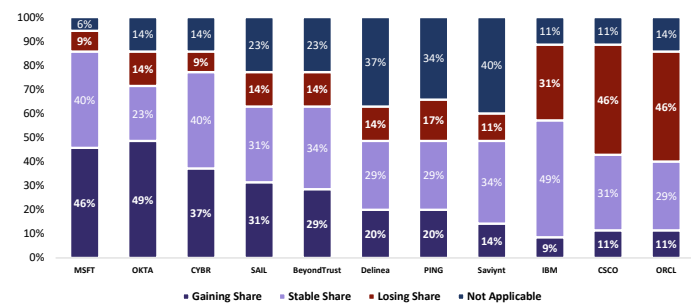
Exhibit 9 - Which vendor(s) are most likely to consolidate cybersecurity spending?



Source: Wells Fargo Securities LLC

n=35

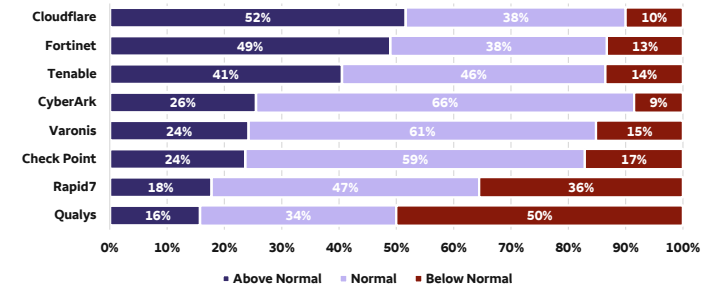
Exhibit 11 - Which vendor(s) are gaining share in Identity?



Source: Wells Fargo Securities, LLC

n=35

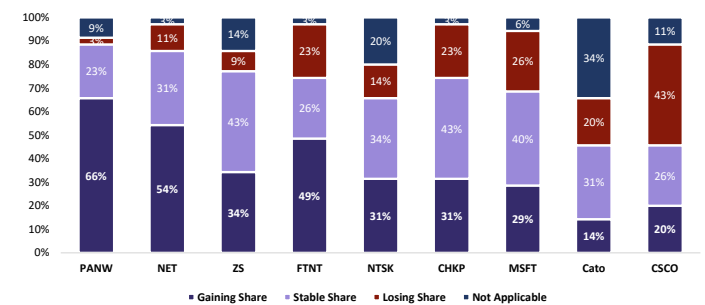
Exhibit 8 - Vendor Pipeline vs Usual Seasonality



Source: Wells Fargo Securities, LLC

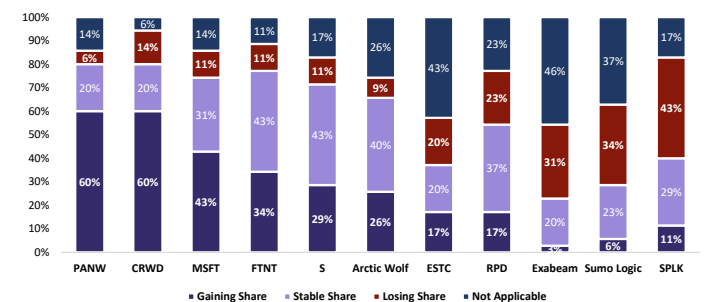
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Exhibit 10 - Which vendor(s) are gaining share in SASE / SSE?



Source: Wells Fargo Securities, LLC

Exhibit 12 - Which vendor(s) are gaining share in SecOps (SIEM / SOAR)?

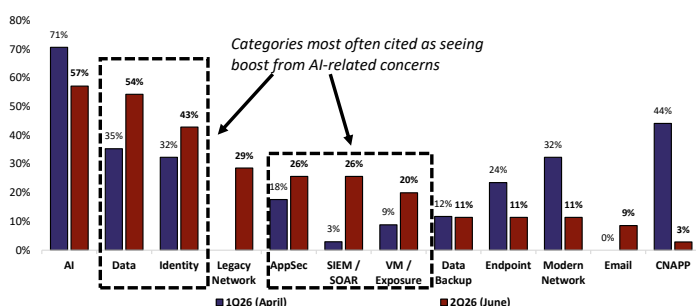


Source: Wells Fargo Securities, LLC

n=35

AI: Ranked as #1 Priority, Platforms Continue To Be Expected Winners

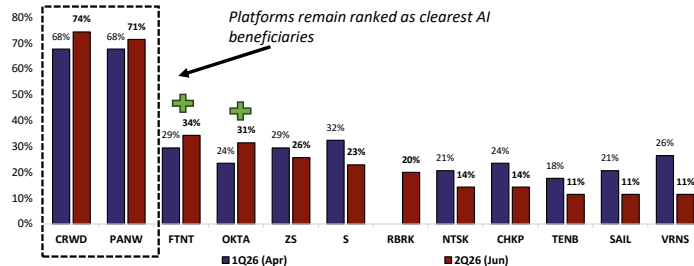
Exhibit 13 - Top three areas of security spend growth over the next year



Source: Wells Fargo Securities, LLC

1Q26 (April) n=34, 2Q26 (June) n=35

Exhibit 14 - Which vendor(s) are most likely to benefit from AI-related spending?



Source: Wells Fargo Securities, LLC

1Q26 April n=29, 2Q26 June n=35

We asked partners to cite the most notable recent AI-related cybersecurity deal

- "We saw success with **CrowdStrike Charlotte AI**, **ServiceNow AI Control Tower**, **SentinelOne Purple AI**, etc. in several deals" — US-based VAR with \$100-500M in annual cybersecurity revenue
- "One recent enterprise deal involved **CyberArk NHI** and **CrowdStrike Charlotte AI**, where the customer purchased it as a premium add-on to accelerate agentic SOC with human-over-the-loop investigations, automated threat hunting, and improved incident management; **the AI component contributed 10-15% of the overall security platform investment.**" — US-based GSI with >\$1B in annual cybersecurity revenue
- "An existing Fortinet client invested in **FortiAI Protect**. The budget allocation for this component came from the existing security allocation, so not an increase in dedicated AI budget." — EU-based VAR with \$100-500M in annual cybersecurity revenue
- "**Rapid7 Insight Application Security add on** for a client that had SIEM and InsightVM. Many clients are worried about AI powered threats and the Application and at the host / VM / container. **The AI component was 200K in ARR.**" — US-based System Integrator with \$500-1B in annual cybersecurity revenue
- "**Cloudflare AI Security** that helps limit what end users can submit into the LLM. It was a separate SKU for just their AI security solution. **This was about a \$65k uplift add on.**" — US-based VAR with \$50-100M in annual cybersecurity revenue
- "Recently I can think of SIEM deals where customer is pushing for more AI capability within the product. I cannot say it goes as a separate SKU but yes definitely it has price uplift. Other than this AI security on a whole is a pretty much growing field. Vendors like Palo Alto, Fortinet, Tenable are already on the forefront to tackle these problems." — APAC-based VAR with \$100-500M in annual cybersecurity revenue
- "**Varonis AI security posture management** and their automated data protection platform. AI component is the primary differentiator for these products" — US-based VAR with \$100M in annual cybersecurity revenue
- "We've had several customers that bought **SentinelOne Purple** as a bolt on to other S1 products. This is a popular product because of its detection capabilities." — US-based VAR with \$100-500M in annual cybersecurity revenue
- "Our customers are looking at newer, smaller AI vendors to augment their already existing security toolset. Customers are not convinced that added AI capabilities in existing toolsets are able to deliver on what is promised and are opting for AI-only plays." — US-based SI with \$100-500M in annual cybersecurity revenue
- The best examples are customers buying specific products just to secure AI — like **AIDR from CrowdStrike**, **Prompt Security from SentinelOne** or **Netskope** solutions for securing AI — this is both

for securing the general user using ChatGPT, Claude, etc. but also developers coding with Claude Code, AWS Bedrock, etc." — EU-based VAR with \$500M-\$1B in annual cybersecurity revenue

- "One recent transaction involved a customer purchasing the **PAN Prisma Access AI add-on** to automate their network threat analysis. That was a significant purchase and subsequent PS engagement." — US-based VAR with \$100-500M in annual cybersecurity revenue
- "Yesterday, we had a customer purchase **Sailpoint NHI** and **agentic solution add-on** for \$100K." — US-based VAR with \$100-500M in annual cybersecurity revenue
- "The most recent example was **Tenable**. However, the **AI component was minimal**." — US-based VAR with \$100-500M in annual cybersecurity revenue
- "In our market **we are seeing customers just getting started to customers that are pretty far down the path. In every case, they either did or had to go back on work on their data security. Knowing what data is where and then protecting the data was something everyone has had to do.**" — US-based VAR with \$100-500M in annual cybersecurity revenue
- "Upsell on AI capabilities has been happening to some extent with vendors such as **Cloudflare and Palo Alto**. AI is a relatively smaller component **less than 3 percent of the entire spend**." — US-based VAR with \$100-500M in annual cybersecurity revenue
- "A customer recently started with **AIRS from Palo**. It was a standalone deal worth **\$250K**." — US-based VAR with >\$1B in annual cybersecurity revenue

CHKP: Performance vs Plan Moderates as Expected Following Guide-Down Last Quarter

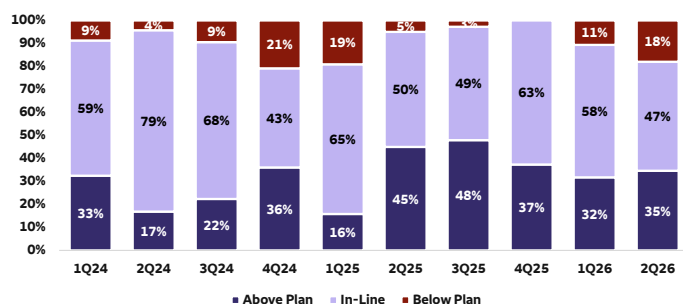
- **Overall Results: performance vs plan declines for a fourth consecutive quarter, now more in-line with 2024 levels.** Of the 28 CHKP resellers in our survey, 10 finished above plan (36%), 4 finished below (14%) and 14 finished in-line (50%). On a revenue-weighted basis, results were fairly similar (shown below). We note the sample size was smaller than recent quarters, contributing to a sample-size adjusted net score of 4.2, down from 6.3 last quarter (12+ in the proceeding two quarters) and 8.8 a year ago. We note results were relatively consistent across both large and small resellers.
 - **Channel growth rates were mixed, most pointing to slowdown in Q2.** We spoke to nine partners, both small practices (few million) and large (>\$50M). A couple we spoke to highlighted mid single-digit growth, relatively stable, a couple noted a slowdown towards low single-digit or flat growth, and a couple saw YoY declines (one stood out with a meaningful decline but due to significant pull-in in Q1). In our view, it was surprising to hear most partners lacked awareness of internal changes (a few did note new channel account managers).
- **Core firewall appliances demand slips a touch.** On an equal-weighted and revenue-weighted basis, demand was 7% net above plan, a moderation vs 13% last quarter.
 - **Mature installed base remains durable.** Several checks highlighted CHKP's loyal installed base and high renewal rates (a couple cited 95%+). One partner referenced large financial services and energy customers that are unlikely to move given deeply embedded policy workflows and a "set it and forget it" firewall system. **However, a few partners did cite a notably smaller expiration / refresh base in 2026 relative to prior years and perhaps pulled forward by Quantum product launches.**
 - **A few partners noted heavier discounting (offsetting recent price increases) and muted new logo activity.** While the installed base appears sticky and partners commended CHKP's clear communication around price increases, several noted the recent price increases were offset by heavier discounting. At times, this was at the expense of partners' margins (a few partners expressed mild frustration). New logo commentary was similarly muted; while partners do not categorize CHKP as a share donor due to the stickiness of the installed base, they do not see them actively involved in new business. One partner described CHKP as "no meaningful customers gained or lost" and called the business "status quo".
- **Rest of portfolio: sequential change in survey data mixed by product (SASE -ve, Email =).** CHKP ranked sixth in net share momentum at +8%, trailing most major competitors. This was unchanged from our 1Q26 (March) survey despite slippage from nearly every vendor, except PANW and

NET. Additionally, SASE demand was +14% net above expectations, relatively in-line with the average since we started tracking in 1Q25 and down from +20% net last quarter. Email Security was roughly stable at +15% (vs +14% last quarter and +19% the quarter prior) and only 9% of respondents ranked Email a top three spend priority (second lowest of all categories). Cyberint (new to tracking) demand was -5% net, although it is our first time tracking and ~17% opted not to respond (indicated lower awareness).

- **Channel conversations indicate moderating Email demand and portfolio lacking a coherent growth identity.** A couple partners we spoke to called into question CHKP's "open-garden" strategy with one articulating "it is neither a full network specialist nor scaled enough in adjacent areas to be considered a platform company." Most partners we spoke to saw minimal activity in SASE, with competitive positioning consistent with our survey data. Importantly, while some partners view Email and Lakera as potential new front doors, it has yet to pull customers into the rest of the portfolio and one large partner down-ticked on Email, describing momentum as moderating with less activity than a year ago. Interestingly, two partners we spoke to said Proofpoint's competitive positioning has improved.
- **Other assets viewed as optionality rather than a growth engine anytime soon.** Lakera continues to receive positive technical comments. Cyberint also broadens the portfolio. Partners do not yet view those assets as integrated deeply enough to meaningfully change CHKP's commercial identity or produce meaningful revenue.

Bottom-line: The installed base remains very sticky, yet our checks indicate there is some evidence of a structurally smaller renewal/refresh cohort than prior years and challenges to pricing power. While CHKP is not losing share, partners indicate new logos are few and far between and in some cases, new business (i.e., new firewall use cases + expansion) is equally hard to find. Leadership/strategy changes require patience; partners are not yet buying into the open-garden approach as they increasingly look for opportunities to expand beyond Email, with SASE feedback mixed and Cyberint/Lakera integration/awareness early stages.

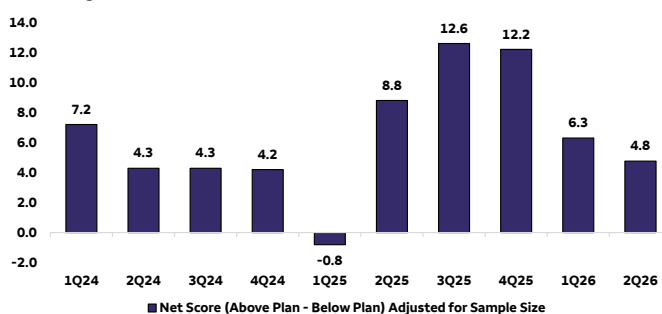
Exhibit 15 - CHKP: How was your sales performance vs plan in the quarter?



Source: Wells Fargo Securities, LLC

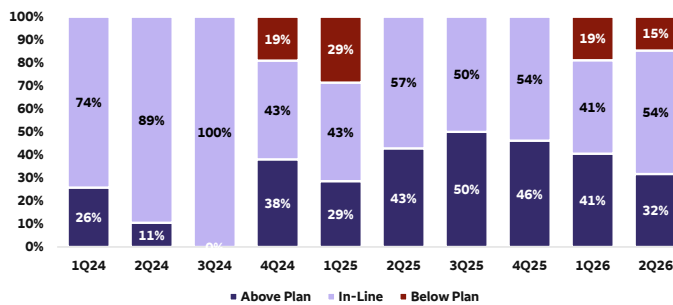
2Q26 n=27, 1Q26 n=30, 4Q25 n=33, 3Q25 n=28, 2Q25: n=22, 1Q25: n=27, 4Q24: n=28, 3Q24: n=33, 2Q24: n=33, 1Q24: n=30

Exhibit 16 - CHKP: Net Results Adjusted for Sample Size Wells Fargo Securities, LLC



2Q26 n=27, 1Q26 n=30, 4Q25 n=33, 3Q25 n=28, 2Q25: n=22, 1Q25: n=27, 4Q24: n=28, 3Q24: n=33, 2Q24: n=33, 1Q24: n=30

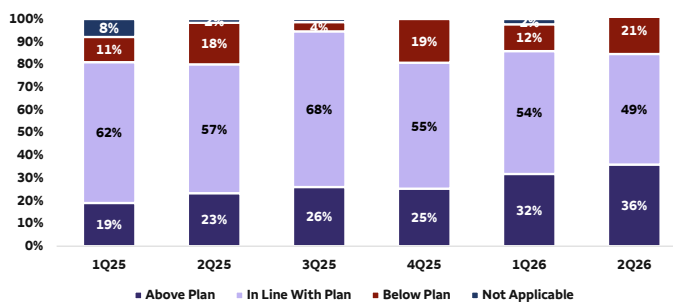
Exhibit 17 - CHKP: Large Reseller Performance vs Plan



Source: Wells Fargo Securities, LLC

Large Resellers: 2Q26 n=8, 1Q26 n=7, 4Q25 n=6, 3Q25 n=10, 2Q25: n=7, 1Q25: n=3, 4Q24: n=5, 3Q24: n=6, 2Q24: n=8, 1Q24: n=7, 4Q23: n=5, 3Q23: n=2, 2Q23: n=5, 1Q23: n=6

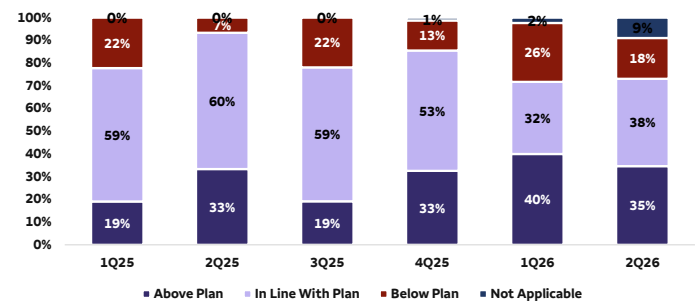
Exhibit 19 - How was demand for SASE (Perimeter 81) relative to your expectations?



Source: Wells Fargo Securities, LLC

2Q26 n=26, 1Q26 n=30, 4Q25 n=33, 3Q25 n=28, 2Q25: n=22, 1Q25: n=30

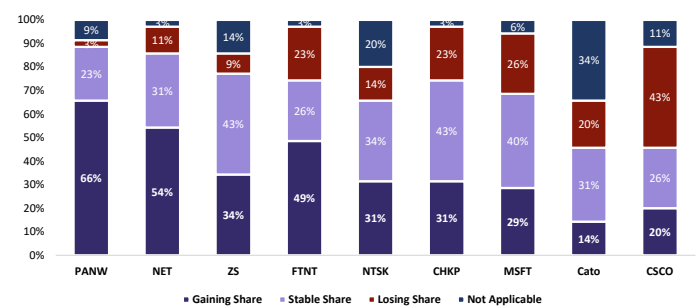
Exhibit 18 - How was demand for Email Security relative to your expectations?



Source: Wells Fargo Securities, LLC

2Q26 n=26, 1Q26 n=30, 4Q25 n=33, 3Q25 n=28, 2Q25: n=22, 1Q25: n=30

Exhibit 20 - Which vendor(s) are gaining share in SASE / SSE?



Source: Wells Fargo Securities, LLC

FTNT: Sequential Slowing as Pull-Forward Eases but Refresh Cycle Ongoing

- Overall Results: fewer partners finished above plan than last quarter.** Of the 34 FTNT resellers in our survey, 13 finished above plan (38%), 5 finished below (15%) and 16 finished in-line (47%). On a revenue-weighted basis, results look slightly better (shown below), with 41% above plan, 15% below (+26% net) and 43% in-line. We note the sample size was larger than recent quarters, contributing to a sample-size adjusted net score of 8.8, down from 11.8 last quarter (13.5 four-quarter average) and 17.4 a year ago. Results did actually show improvement for larger resellers (> \$25M in annual Fortinet sales), with 26% net above plan versus 13% last quarter (but vs 50%+ in the prior three quarters).
 - Direct partner feedback echoed a similar sentiment, with growth rates moderating off an usually strong Q1.** Channel growth estimates ranged from high single digits to high teens, with several practices clustering in the mid teens. Across the board, each partner we spoke to reported moderating YoY growth rates in Q2 relative to Q1. Some reported more meaningful slowdowns (e.g., one partner with an ~\$80M FTNT practice cited mid-teens growth in Q2 vs mid-30% in Q1 with softer April/May but still solid June), while others were modest (e.g., one partner with a \$100M practice pointed to ~13-14% growth in Q2 vs 16-17% in Q1 and another similarly sized partner referenced growth in the mid-teens vs 20%+ last quarter). We highlighted these growth rates because in this case, the numbers match the narrative — there was still solid growth but less than typical.
- Firewall Appliance moderates to +30% net above plan from +39%, with benefits from refresh cycle moderating.** 15 respondents or ~44% highlighted refresh tailwinds, down notably from ~63% last quarter and actually the lowest we've tracked since 2025 (although relatively consistent

with 47% in 1Q25, 45% in 2Q25 and 47% in 4Q25; so far, the outliers have been 72% in 3Q25 and 63% in 1Q26).

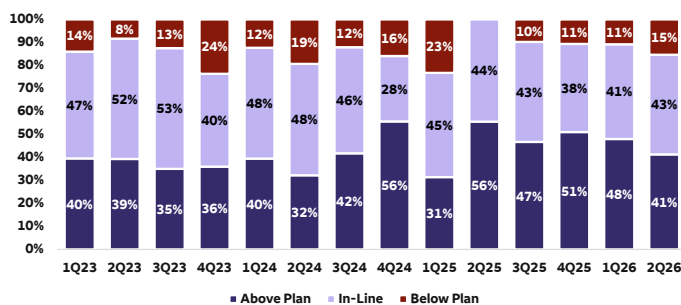
- **Pull-forward dynamics eased, despite another price increase, although a strong refresh cycle continues to support growth.** End-of-life appliances, price increases, component concerns, and proactive trade-in programs accelerated purchases in Q1. We revisited the conversation of pull-forward with partners to see if perspectives have shifted in retrospect; however, commentary was mostly consistent with a view that large customers moved orders forward, mostly into Q1 from the end of the year; one partner explained there were pockets of large customers that were scheduled to buy hundreds of appliances by year-end moving quickly to lock-in pricing, while any Q2 pull-forward was smaller in nature (a few devices). Another partner shared an interesting data point that FTNT was offering buyback programs to pull refreshes forward. Partners feedback on how far along we are in Fortinet's refresh cycle was mixed, with three partners suggesting we are nearing or at the tail-end (80%+), while three were more confident in 2H pipeline, estimating we're only 50-60% through the cycle.
- **Is growth simply a refresh cycle or something more? Share gain/loss feedback mixed.** Partners we spoke to were mixed, with some fully attributing growth to refresh cycle dynamics and pointing to anecdotes of displacement by PANW, while others framed Fortinet as a share gainer alongside PANW from legacy incumbents (CSCO, JNPR, SonicWall, Barracuda were cited most frequently; rare, but a couple did mention CHKP). In terms of reasons behind share gains, those partners explained Fortinet's appeal from a cost-savings perspective, especially for customers trying to do more with less. In terms of displacement context, a few noted it was due to a decision to use a non-hardware form factors (moving to SASE or virtualized firewalls) and platform consolidation.
- **New hardware use cases enough to replenish the tank? OT, AI data center appear to be net new opportunity but unclear how large/durable.** Feedback on OT is it does seem like a real opportunity that Fortinet is uniquely well-positioned to capture, stronger than the AI data center thesis, but adoption appears gradual and specialists remain important. We believe OT can support growth but not serve as a standalone offset if the refresh cycle turns. Partners noted Fortinet performs very well in ruggedized environments and the company has strong mind-share in industrial, hospitals, etc., where operational simplicity (and hardware) are the #1 decision-making criteria. One partner described OT demand as having picked up in the last 18 months "but it was not exponential"—customers buy one hospital, one manufacturing plant at a time, thus the adoption curve is steady. Fortinet's role is to supply the firewall/network control, while Nozomi, Claroty, etc. provide more specialized visibility and detection, which is often where more value can accrue in the opportunity.
- **We did pick up on some neocloud activity, yet not specific to Fortinet and unclear how durable/large.** In our 10 conversations, only one could point to an opportunity where a neocloud and AI compute provider was purchasing firewall appliances to secure new data center builds. In this deal, multiple vendors were sourced, including PANW, FTNT and CSCO. Most other partners we spoke to responded to the AI line of question by explaining that "neocloud / telcos could buy from 3P vendors, but it's not always hardware, and we haven't done any deals" and theorized that AI could spark refresh as enterprise data centers/IT environments are upgraded more generally.
- **Broader platform—survey data and channel feedback suggests no meaningful change sequentially, as SASE and SecOps traction remains mixed and more down-market focused.** Fortinet was ranked #4 most likely to consolidate cybersecurity spend, behind PANW, CRWD and MSFT, and consistent with last quarter. While its ranking held, vote share was down to 10 (29%) from 15 (43%) last quarter, which was the largest sequential weakening in percentage terms.
- **In SASE, Fortinet dropped one ranking in market share momentum** (and vote share) due to Cloudflare rising to #3. Respondents reported slight demand improvement in Fortinet's SASE solution to +5% net above expectations, although from a low-point (-1% net below expectations) last quarter.
 - **Partner conversations echo a similar sentiment.** In general, Fortinet's positioning in SASE is viewed as relatively stagnant (traction remains not meaningful). Palo and Zscaler continue to duke out large enterprise deals, Netskope's sweet spot is midsize enterprise, and Cloudflare is starting to gain notable momentum at the low-end of the market alongside Cato Networks.

A couple partners did frame the lack of SASE adoption as the result of prioritization (more focused on meeting strong firewall refresh and broader demand) than anything else, which was modestly encouraging. Others also pointed out the company is starting to deliver a more clear message/story around SASE, which is starting to resonate and drive a small # of deals, even if not yet meaningfully contributing. At the same time, multiple partners we spoke to view Fortinet's SASE solution as difficult to manage and not enterprise-ready. One partner pivoted the question towards more hardware, suggesting a more dedicated push around FortiNAC, FortiSwitch, etc. could present a more natural expansion opportunity given ASIC advantages could translate, unlike in cloud/software.

- **In Security Analytics (SIEM / SOAR), Fortinet increased two rankings in market share momentum**, surprisingly passing Splunk and SentinelOne. In contrast, partners reported demand below plan (-4% net) for Security Operations (Endpoint, SIEM, etc.) and Laceworks/CNAPP (-25% net below plan vs +7% above plan last quarter).
 - **Mixed feedback from partners.** In general, partners believe Fortinet can win broader platform deals in SMB accounts, where 60% good enough solutions are plenty. In our view, general awareness of Fortinet's SecOps products seems to be improving. However, in the enterprise, Fortinet is a long way from being viewed as a credible alternative to CrowdStrike, SentinelOne, Microsoft, Palo Cortex, etc. One partner described Fortinet's broader portfolio as a slew of check-the-box solutions meant to keep up with Palo's acquisitiveness on paper; this partner referenced a failed wall-to-wall implementation at a midsize enterprise worth \$8M ACV, biasing him from recommending to future customers.

Bottom-line: The refresh is real, but Q1 borrowed demand from later periods. Q2 remained healthy, although moderated sequentially. The largest firewall appliance estates appeared earliest / most eager to pull-forward refreshes, while the remaining opportunity appears more fragmented across smaller estates and budget-delayed projects. It's unclear when refresh tailwinds could fade, as partners were mixed on 2H outlooks. To offset any winding down of refresh, market share commentary was mixed to slightly positive, with a few anecdotes of legacy vendor slippage, low-cost value proposition resonating, and OT as a real/solid growing appliance opportunity. Meanwhile, traction beyond firewall/appliances (SASE, CNAPP, SecOps) remains sparse or limited to down-market today, with SASE viewed as showing signs of potential and SecOps et al. viewed as more of a long-shot.

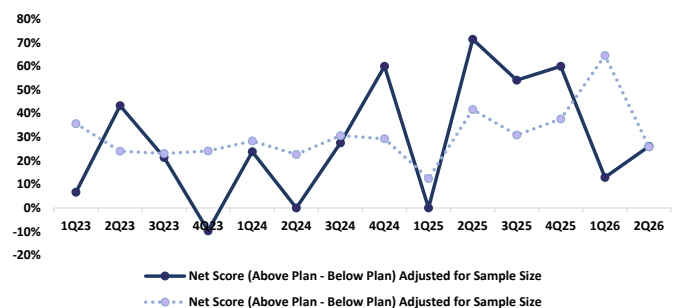
Exhibit 21 - FTNT: Reseller Performance vs Plan (Revenue-Weighted)



Source: Wells Fargo Securities, LLC

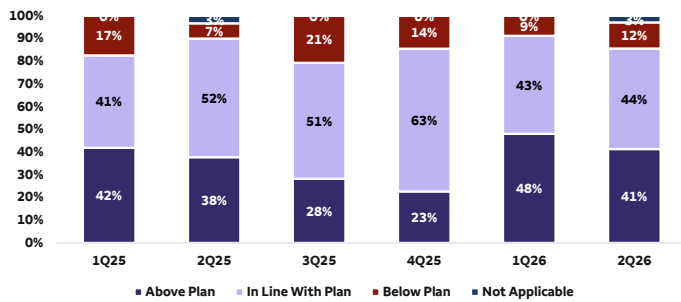
2Q26: n=34, 1Q26: n=32, 4Q25: n=32, 3Q25: n=32, 2Q25: n=31, 1Q25: n=34, 4Q24: n=33, 3Q24: n=34, 2Q24: n=33, 1Q24: n=32, 4Q23: n=32, 3Q23: n=32, 2Q23: n=30, 1Q23: n=31, 4Q22: n=31, 3Q22: n=33

Exhibit 22 - FTNT: Large vs Small Resellers — Net Score (% Above Plan - % Below Plan)



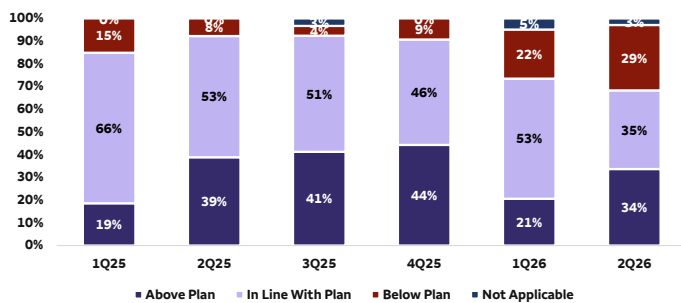
Source: Wells Fargo Securities, LLC

Exhibit 23 - How was demand for Firewall Appliances relative to your expectations in the quarter?



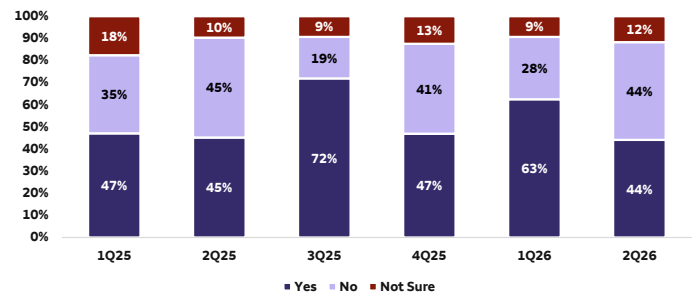
Source: Wells Fargo Securities, LLC

Exhibit 25 - How was demand for SASE relative to your expectations in the quarter?



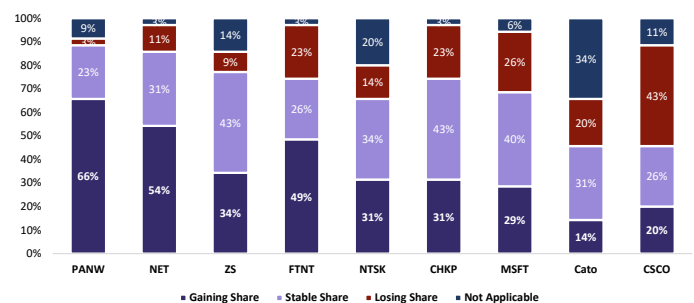
Source: Wells Fargo Securities, LLC

Exhibit 24 - Is Fortinet benefiting from a firewall refresh cycle?



Source: Wells Fargo Securities, LLC

Exhibit 26 - Which vendor(s) are gaining share in SASE / SSE?



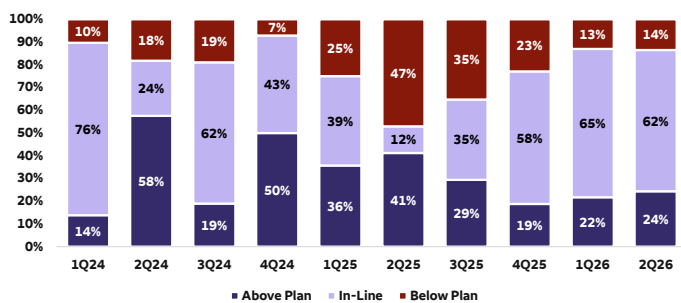
Source: Wells Fargo Securities, LLC

VRNS: Slight Sequential Improvement as Data Climbs Priority Rankings

- Overall Results: more partners finished above plan than last quarter.** Of the 17 VRNS resellers in our survey, 4 finished above plan, 9 in-line and 4 below plan. On a revenue-weighted basis, results look better (shown below), with 24% above plan, 14% below (+11% net) and 62% in-line. We note the sample size was larger than recent quarters, contributing to a sample-size adjusted net score of 1.9, up from 0.9 last quarter and -0.6 a year ago.
- Direct beneficiary of data security rising in priority. 54% of respondents ranked data security as a top three priority, up from 35% last quarter, marking the largest sequential improvement of any category and good enough for a #2 finish, closely behind AI** (although somewhat inter-related in our view). This was echoed throughout our deeper discussions with partners. One of the largest partners we spoke to (>\$50M practice) reported growth in the high-30% in Q2 and mid-30% YTD (implying acceleration in Q2). Another partner explained AI is the strongest demand driver they have seen for VRNS because internal agents retrieve everything a user is entitled to see, including content the user did not know was accessible. That turns years of over-permissioning, poor classification, and stale access into an immediate business risk. The near-term opportunity is therefore less about securing the model itself and more about preparing enterprise data and entitlements, so AI can be deployed safely. Varonis sits directly in that workflow and complements Microsoft Purview where E5 does not “complete the whole picture.”
- Large deal anecdotes were encouraging:** New-logo examples included state and local government, cities, healthcare services, financial services, manufacturing, and high tech—as well as a good mix beyond the traditional complex/regulated core. We picked up on a few notable deals in our conversations, including an \$8M three-year deal with a new logo (successfully beat out Purview), \$3M new logo replacement of Netwrix and a \$2M add-on expansion for Atlas AI.
- Competitive intensity was consistent QoQ, with Cyera standing out in the category but not necessarily pressuring VRNS' installed base opportunity.** Cyera is the most important competitive change in years. Partner feedback indicates it has accelerated customer awareness of the category and, alongside AI, help expand the opportunity to new market segments. Varonis

still has much greater scale, retains a strong brand, leadership on product depth, and installed-base protection, but greenfield indicators are clearly softer: The share loss appears more in new cloud projects than existing accounts, which is why strong growth and weakening competitive mindshare can coexist for now, in our view. Zscaler and Netskope are not viewed as standalone DSPM peers. They enter data-security evaluations mainly when it already owned the SASE relationship—and even then, are usually just selected for DLP, rather than full data security.

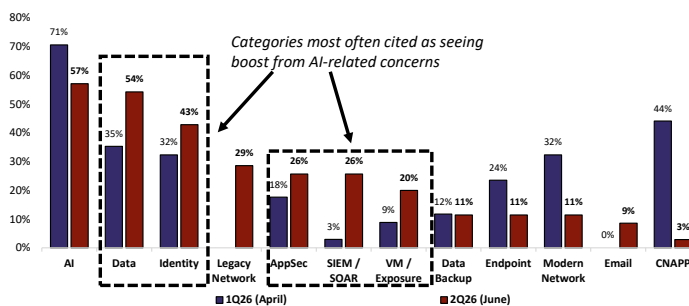
Exhibit 27 - VRNS: How was your sales performance vs plan in the quarter?



Source: Wells Fargo Securities, LLC

2Q26 n=17, 1Q26 n=10, 4Q25 n=19, 3Q25 n=10, 2Q25: n=10, 1Q25: n=13, 4Q24: n=14, 3Q24: n=17, 2Q24: n=15, 1Q24: n=13

Exhibit 29 - Top three areas of security spend growth over the next year



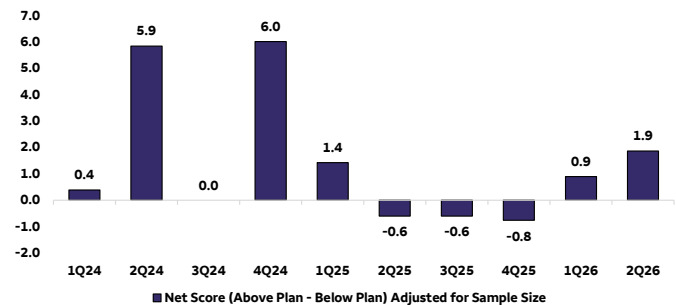
Source: Wells Fargo Securities, LLC

1Q26 (April) n=34, 2Q26 (June) n=35

TENB: Mixed Signals as Category Rises and Importance & Channel Conversations Improve QoQ, Yet (Volatile) Survey Results Came Back Mixed

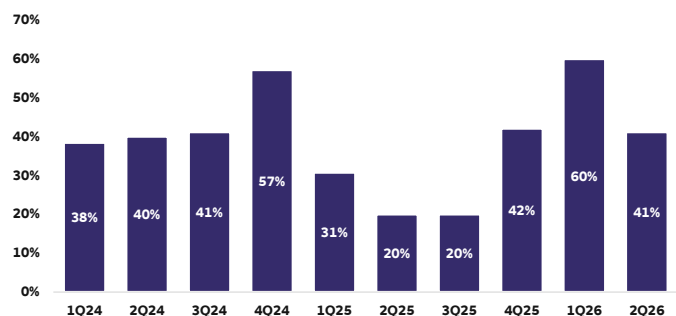
- Overall Results: partner results versus plan moderate QoQ, yet data tends to be noisy.** Of 19 TENB resellers in our survey, 7 finished above plan, 6 in-line and 6 below plan. On a revenue-weighted basis, results look consistent, with 43% above plan, 30% below (+14% net) and 27% in-line. We note the sample size was larger than recent quarters, contributing to a sample-size adjusted net score of 2.7, down from 5.6 last quarter and 6.6 a year ago. However, an important caveat is the survey data tends to be noisy for Tenable, with a 20-point swing in each of the last five quarters. **Importantly, while overall results declined QoQ, the smaller sample size of large resellers did see improvement with 69% net above plan (none below plan), up from 36% last quarter.**
- Vulnerability/exposure management revival: real urgency.** Our checks show a genuine revival in attention after several stagnant years, driven by the fear that AI will accelerate both vulnerability discovery and weaponization. However, channel feedback was slightly more mixed on Tenable specifically than the revival of the category would indicate, and our survey data signals similarly mixed reads. In our conversations, some partners noted Tenable growth accelerating to double

Exhibit 28 - VRNS: Net Results, Adjusted for Sample Size



Source: Wells Fargo Securities, LLC

Exhibit 30 - VRNS: Did Varonis increase discounting in the quarter?

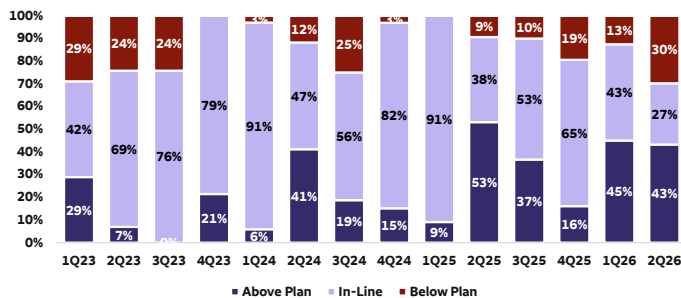


Source: Wells Fargo Securities, LLC

digits in Q2 and a sharp rise in evaluations, while others see stable low-to-mid single-digit growth or stronger demand for services and workflow redesign than for new software. One partner described vulnerability-risk prioritization and continuous automated penetration testing as one of four “tip of the spear conversations happening right now”; another noted vulnerability management and segmentation had been “fairly stagnant for a while,” but “they’ve heated up immensely in just the last few weeks with customers bypassing normal procurement and moving from evaluation to purchase in weeks rather than months;” and a third noted strong Tenable demand from “blue chip companies” in finance, healthcare & government. Meanwhile, an EU-based partner was much more balanced, explaining growth actually declined in Q1 but returned to mid single-digit growth in Q2, which was described as uninspiring.

- **There was consistency around long-term competitive concerns; Qualys (21%) + Platforms (CRWD 26%, PANW +21%) applying the most pressure. However, we did pick up a large Patch Management takeaway.** First, we heard in our checks that Tenable won a large patch management customer away from Qualys with the deal sized at >\$15M over three years and another new Qualys takeaway worth “a few million” for core vulnerability management. However, a few partners we spoke to, especially one in particular, highlighted Qualys as better positioned due to its early expansion into patch management, with strong interest in the value proposition of automated remediation (where Tenable is aiming to go with Hexa AI). Taking a step back, Tenable faces pressure from multiple angles. The primary form is endpoint and platform vendors that can bundle good-enough Exposure Management into broader contracts, with 26% of respondents selecting CrowdStrike as the key competitive threat, followed by PANW and QLYS at 21% a piece. On the other side, workflow and enforcement vendors can own remediation even if they ingest Tenable data. We believe Tenable’s response has to be specific: prove it has the highest-fidelity exposure data, prove that Hexa can act across workflows safely, and prove that Tenable One adoption improves measurable risk outcomes. The long-term risk is not that Tenable disappears. It is that Tenable remains important but captures less of the economics than the category would suggest. A scanner can be mission-critical and still not own the highest-value workflow layer.

Exhibit 31 - TENB: How were sales for Tenable relative to expectations in the quarter?



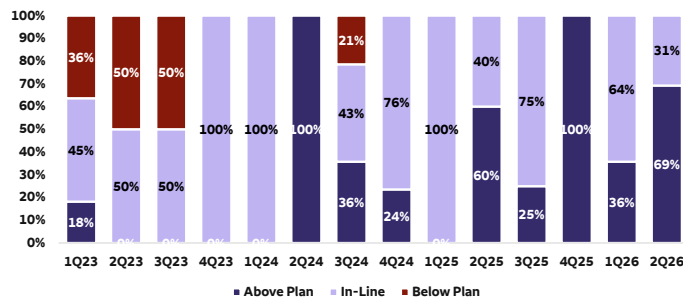
Source: Wells Fargo Securities, LLC

Exhibit 32 - TENB: Net Score (Above Plan - Below Plan) Adjusted for Sample Size



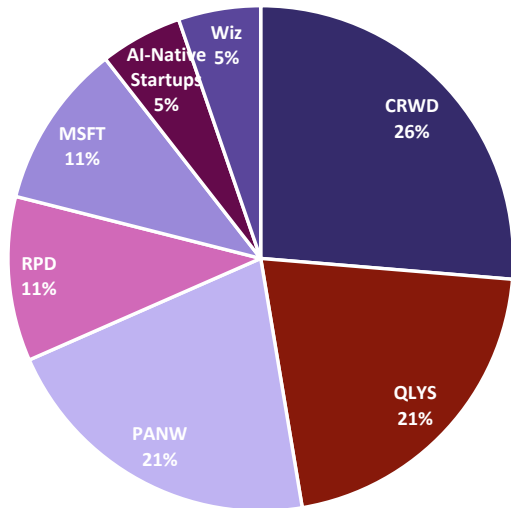
Source: Wells Fargo Securities, LLC

Exhibit 33 - TENB: Large Reseller (>\$10M in annual revenue) Net Score (Above Plan - Below Plan)



Source: Wells Fargo Securities, LLC

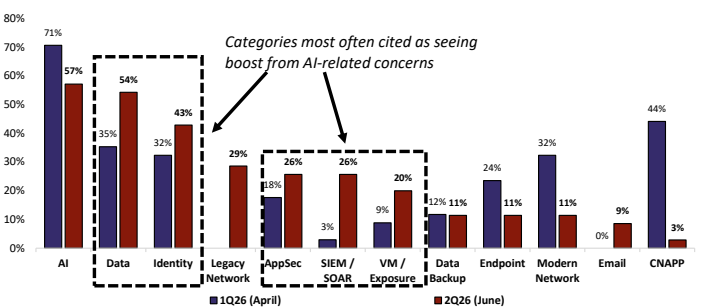
Exhibit 35 - Which vendor do you see most in competitive situations for Tenable?



Source: Wells Fargo Securities, LLC
n=19

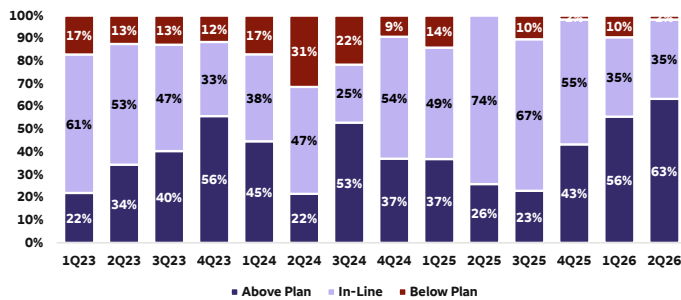
NET: Strongest Reseller Results Since Survey Inception, Regardless of How You Slice It

Exhibit 34 - Top three areas of security spend growth over the next year



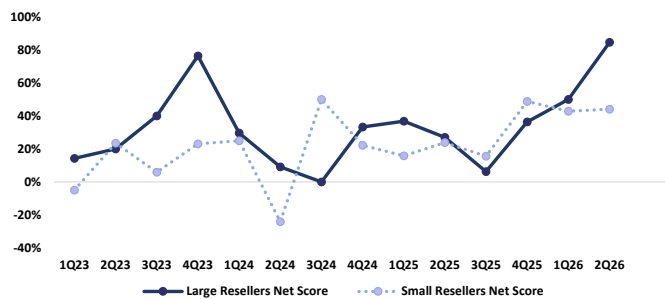
Source: Wells Fargo Securities, LLC
1Q26 (April) n=34, 2Q26 (June) n=35

Exhibit 36 - NET: How were sales relative to expectations in the quarter?



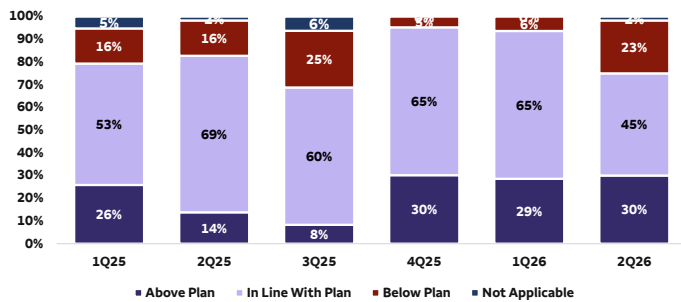
Source: Wells Fargo Securities, LLC

Exhibit 38 - NET: Larger Reseller (>\$10M in annual revenue) Net Score (Above Plan - Below Plan)



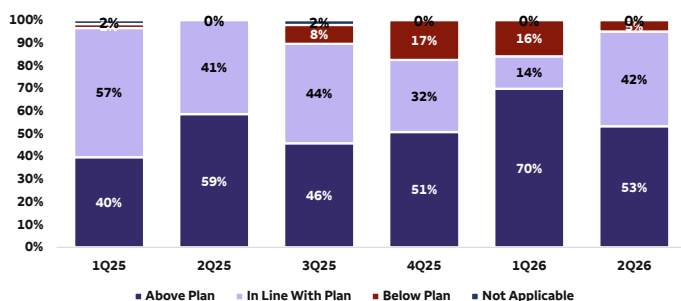
Source: Wells Fargo Securities, LLC

Exhibit 40 - How was demand for Workers relative to your expectations?



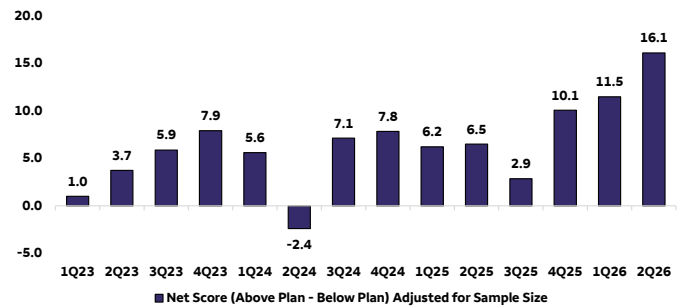
Source: Wells Fargo Securities, LLC

Exhibit 42 - How was demand for SASE/Zero Trust relative to your expectations?



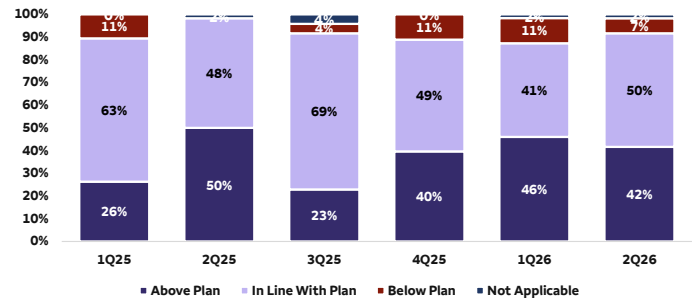
Source: Wells Fargo Securities, LLC

Exhibit 37 - NET: Net Score, Adjusted for Sample Size



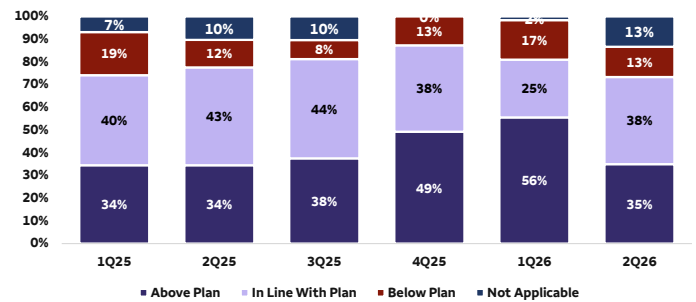
Source: Wells Fargo Securities, LLC

Exhibit 39 - How was demand for CDN Services relative to your expectations?



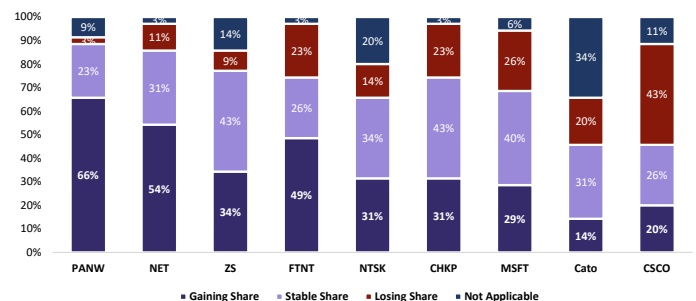
Source: Wells Fargo Securities, LLC

Exhibit 41 - How was demand for Workers AI relative to your expectations?



Source: Wells Fargo Securities, LLC

Exhibit 43 - Which vendor(s) are gaining share in SASE / SSE?



Source: Wells Fargo Securities, LLC

Companies Mentioned in Report

Company Name	Ticker	Last Price (07/17/26)
Check Point Software Technologies Ltd.	CHKP	\$137.10
CrowdStrike Holdings, Inc.	CRWD	\$203.08
Fortinet, Inc.	FTNT	\$161.61
Gen Digital, Inc.	GEN	\$26.74
Netskope, Inc.	NTSK	\$13.59
Okta, Inc.	OKTA	\$149.35
Palo Alto Networks, Inc.	PANW	\$358.68
SailPoint, Inc.	SAIL	\$15.68
SentinelOne, Inc.	S	\$19.57
Tenable Holdings, Inc.	TENB	\$39.88
Varonis Systems, Inc.	VRNS	\$47.54
Zscaler, Inc.	ZS	\$149.94

Source: Wells Fargo Securities LLC Estimates, FactSet

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We, Michael Turrin and Richard Poland, certify that:

- 1) All views expressed in this research report accurately reflect my personal views about any and all of the subject securities or issuers discussed; and
- 2) No part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by me in this research report.

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OW=Overweight: Total return on stock expected to be 10%+ over the next 12 months. (BUY)

EW=Equal Weight: Total return on stock expected to be -10% to +10% over the next 12 months. (HOLD)

UW=Underweight: Total return on stock expected to lag the Overweight- and Equal Weight-rated stocks within the analyst's coverage universe over the next 12 months. (SELL)

NR=Not Rated: The rating and price target has been removed due to lack of fundamental basis to support the recommendation or due to legal, regulatory or company policy considerations.

FINRA regulation requires member firms to assign ratings to one of three rating categories: Buy, Hold and Sell. In accordance with FINRA regulation and solely to satisfy those disclosure requirements in the ratings distribution table and ratings history chart contained in these Required Disclosures, our rating of Overweight corresponds to a Buy rating; Equal Weight corresponds to a Hold rating; and Underweight corresponds to a Sell rating.

As of July 19, 2026

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